

When you work for a large accounting firm, you are very limited in your ability to trade public securities because any firm they are working with is on a restricted list. That is why I never considered buying stocks in individual companies. I didn't want to be speaking to compliance every day. The stock index appealed to me because I thought that after following the market for 18 months, I would be quite good at predicting short-term price moves.

Why did you choose trading options on the index as opposed to trading the index itself?

Because by buying options, the downside is limited and the upside is unlimited. That sounded good to me.

On what basis were you making your market trading decisions?

It sounds so unbelievably naive now, but basically I did it on how overbought or oversold I thought the market was and what I thought the market direction should be based on my broad feelings on global macro. But, of course, although I didn't realize it then, what I knew about global macro at the time was pathetic.

How did you judge whether the market was overbought or oversold?

Again, it sounds pathetic, but I based it simply on whether the market was up a lot or down a lot. I can't really believe I'm saying this now. My thinking was something like, *The market has been down six days in a row. There was some bad economic news, but I think that should be in the price now. I'll buy some.*

So what happened?

I started out with £2,000, which was a lot of money to me then, and after six months my account was up to £10,000. I thought I was a bit of a genius. In those days, you could buy a house for £70,000, and a big deposit was 20 percent. So I almost had enough money to get a mortgage. As I made money, I got more and more confident, and I increased the position each time. Ultimately, I put on a position where I was completely wrong. I just held it, held it, held it, and sold it when my account was back down to £2,000. Over a five-day period, I lost everything that I had made over the prior six months.